DEVBHOOMI TEMPLE FLOWERS REPROCCSSING PROJECT

1. Objective

The goal of **Inventory Control Mechanism Monitoring** is to:

- Ensure that inventory levels are optimal.
- Minimize costs associated with excess or obsolete inventory.
- Improve the accuracy of stock levels, reducing stockouts or overstocking.
- Track inventory movements, including inbound, storage, and outbound flows.
- Ensure that inventory management practices adhere to industry best practices and internal standards.

2. Key Performance Indicators (KPIs) for Inventory Control

KPI	Description	Measurement Method	Target	Frequency
Inventory Accuracy Rate	Percentage of inventory records that match physical stock.	Formula: (Accurate Items / Total Items) × 100	≥ 98%	Monthly
Stock Replenishment Lead Time	Time taken to replenish stock from order placement to receipt of goods.	Measured in days.	≤ 7 days	Monthly
Order Fulfillment Rate	Percentage of orders that are shipped complete and on time.	Formula: (Completed Orders / Total Orders) × 100	≥ 95%	Monthly
Stock Turnover Ratio	Measures how often inventory is sold and replaced over a period.	Formula: Inventory Turnover = Cost of Goods Sold / Average Inventory	4-8 times per year	Monthly
Inventory Holding Costs	Total costs of storing inventory, including warehousing, insurance, etc.	Formula: Inventory Holding Costs = (Inventory Value × Holding Cost Rate)	Minimize costs	Quarterly
Stockouts (Out of Stock Rate)	Percentage of times an item is out of stock compared to demand.	Formula: Stockouts = (Stockouts / Total demand) × 100	≤ 2%	Monthly
Excess Inventory Rate	Percentage of inventory that is beyond the required stock level.	Formula: Excess Inventory = (Excess Inventory / Total Inventory) × 100	≤ 5%	Monthly
Cycle Counting Accuracy	Accuracy of periodic cycle counting.	Formula: (Accurate Count / Total Counts) × 100	≥ 98%	Monthly

Lead Time Variability	Variability in lead time from suppliers for orders.	Measured as percentage difference between expected and actual lead time	≤ 10%	Quarterly
Damaged/Obsolete Stock	Percentage of stock that is damaged, expired, or obsolete.	Formula: (Damaged Stock / Total Inventory) × 100	≤ 3%	Monthly

3. Inventory Control Monitoring

Date	KPI	Target	Actual	Variance	Comments/Actions Taken	Responsible Person/Team	Next Steps
	Inventory Accuracy Rate	≥ 98%	99%	+1%	Inventory count is accurate. Regular audits conducted.	Warehouse Manager	Continue with regular audits and updates to inventory records.
	Stock Replenishment Lead Time	≤ 7 days	6 days	-	Excellent replenishment times. Lead time reduced with optimized orders.	Procurement Team	Maintain close coordination with suppliers.
	Order Fulfillment Rate	≥ 95%	93%	-2%	Some delays in order fulfillment due to supply chain issues.	Logistics Team	Work with procurement to resolve supplier delays.
	Stock Turnover Ratio	4-8 times/year	5 times/year	-	Healthy stock turnover. Continue focusing on fast-moving products.	Operations Team	Focus on reducing slow-moving inventory.

	Inventory Holding Costs	Minimize cost	$10,000/month	-$500	Minor reduction in holding costs due to better stock management.	Finance Team	Continue optimizing warehouse space and processes.
	Stockouts	≤ 2%	1%	-1%	Minimal stockouts, inventory levels maintained at optimal levels.	Supply Chain Team	Maintain inventory control to prevent stockouts.
	Excess Inventory Rate	≤ 5%	6%	+1%	Excess stock from over-ordering last quarter.	Inventory Control Team	Review forecasting methods, reduce overordering.
	Cycle Counting Accuracy	≥ 98%	97%	-1%	Some discrepancies identified during cycle counting.	Warehouse Manager	Address discrepancies and ensure improved accuracy in next cycle.
	Lead Time Variability	≤ 10%	12%	+2%	Lead time variability due to supplier delays.	Procurement Team	Work with suppliers to reduce lead time fluctuations.
	Damaged/Obsolete Stock	≤ 3%	4%	+1%	Increase in damaged stock due to improper storage conditions.	Warehouse and Quality Teams	Improve storage conditions and conduct more frequent

							inspectio ns.

4. Action Plan for Variance Management

KPI	Variance	Root Cause Analysis	Corrective Action	Timeline	Responsible Team
Stock Replenishment Lead Time	-	Slow supplier response and internal order delays.	Improve communication with suppliers, review internal order approval process.	1 week	Procurement Team
Order Fulfillment Rate	-2%	Supply chain delays and stockouts.	Improve supplier relationships, ensure timely inventory forecasting.	2 weeks	Logistics & Procurement Teams
Excess Inventory Rate	+1%	Over-ordering based on inaccurate demand forecasts.	Improve demand forecasting accuracy, consider seasonal trends.	1 month	Inventory Control Team
Cycle Counting Accuracy	-1%	Errors during manual stock counting process.	Increase cycle counting frequency, cross-check stock with multiple teams.	1 month	Warehouse Team
Damaged/Obsolete Stock	+1%	Improper storage practices causing product damage and obsolescence.	Improve storage conditions and regular stock checks.	2 weeks	Warehouse & Quality Teams

5. Reporting and Communication

- **Weekly Inventory Control Meeting**: Review performance against inventory KPIs, discuss any discrepancies, and prioritize corrective actions.
- **Monthly Inventory Report**: Report on inventory control performance, highlight KPIs, variances, and action items for improvement.

- **Quarterly Inventory Review**: Senior management meeting to review long-term inventory control strategies, technology adoption, and improvement initiatives.

6. Continuous Improvement

- **Root Cause Analysis**: For each variance, perform a root cause analysis to understand why it occurred and identify long-term corrective actions.
- **Inventory Control Training**: Regular training for employees involved in inventory management on best practices and the use of inventory control systems.
- **Automation and Technology**: Explore inventory management software, RFID, and barcode scanning to improve accuracy and reduce manual errors.